

FRVO

FRVO N/A

Buy **\$27.90 ▲ 0.40%** **12M Price Target \$42.00** **52-Week Range \$27.04 – \$42.65**

Market Cap \$8.22B

FRVO: Geothermal + AI Power Story Hits 52-Week Low

WHAT HAPPENED

- FRVO is basically flat today (+0.4%) but sitting at \$27.90 — that's just 6% off its 52-week low of \$27.04. The stock has bled roughly 12% in a week after last month's earnings miss, even though the underlying story (geothermal power for AI data centers) is arguably getting stronger.
- The disconnect matters: Tech ETFs are ripping (+2.4% today, +2.1% on the week) because AI enthusiasm is back, but FRVO — a company that literally powers AI infrastructure — is being left behind. That's a signal the market is treating this as a "show me" story right now.

WHY IT MATTERS

Here's what I think is going on: the earnings miss spooked people, but the Nvidia + PNNL geothermal digital twin partnership (announced June 24) and RBC confirming the 33 MW Utah project is on track are being ignored. That's usually how bottoms form — good news stops moving the stock until sellers exhaust themselves. The put/call ratio of 1.63 (way more bearish bets than bullish ones) tells me sentiment is washed out, which historically is contrarian bullish. The bigger picture: AI hyperscalers (Microsoft, Google, Meta) are desperate for 24/7 clean power, and geothermal is one of the only sources that isn't intermittent like solar/wind — FRVO already has a signed deal with Google, so this isn't speculative.

POLICY & POLITICAL WATCH

The big overhang is the fate of the Inflation Reduction Act's clean energy tax credits under the current administration — geothermal gets a 30% investment tax credit that's worth real money to FRVO's project economics. So far, geothermal has been treated more favorably than solar/wind in Republican energy circles because it's "baseload" (runs 24/7) and appeals to the "energy dominance" crowd — but any repeal talk in the budget reconciliation fight would hit the stock. On the positive side, the FERC transmission permitting reform push and bipartisan interest in powering AI domestically both help — if Congress passes anything that fast-tracks power generation for data centers, FRVO is a direct beneficiary.

IS IT EXPENSIVE?

At \$8.2B market cap on ~\$320M expected revenue this year, you're paying about \$26 for every \$1 of current sales — that's steep, but revenue is projected to nearly double next year, which brings that ratio down fast. Compared to other pre-profit energy transition names, this isn't outrageous given the AI power tailwind. The stock's not making money yet (losing about \$1.85/share this year), so this is a bet on the trajectory, not the current numbers.

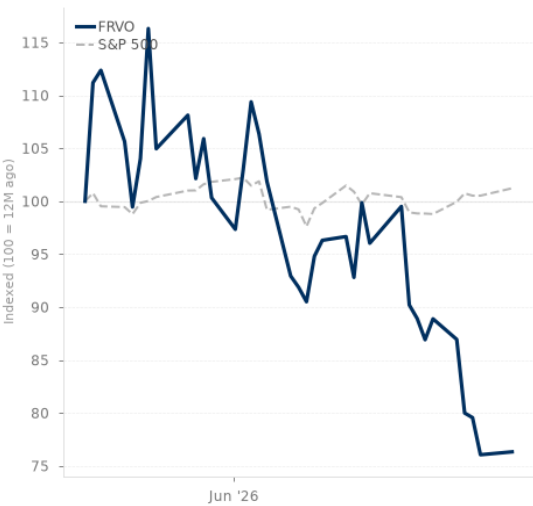
Key Data

Price (USD)	\$27.90
12M Price Target	\$42.00
Upside / (Downside)	+50.5%
Market Cap	\$8.22B
FY2026E Revenue	\$320M
FY2027E Revenue	\$580M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$33.00	\$29.00	\$24.00
6 Months	\$42.00	\$34.00	\$22.00
1 Year	\$55.00	\$42.00	\$20.00
2 Years	\$75.00	\$55.00	\$18.00
5 Years	\$130.00	\$80.00	\$15.00
10 Years	\$250.00	\$140.00	\$10.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.4%) is leading again as AI capex expectations keep rising — every hyperscaler earnings call is basically "we're spending more on AI infrastructure." Industrials are quietly strong too (+2.3% over 5 days) as the "picks and shovels" trade for AI buildout gains steam.

COOLING OFF: Energy is the laggard (-1.2% over 5 days) as oil prices soften — but clean/next-gen energy is a different animal from traditional oil & gas, and FRVO is being unfairly lumped in.

ROTATION WATCH: Money is chasing pure-play AI names (chips, software) rather than the "second derivative" plays like power and cooling — but that rotation usually comes next once the obvious names get too expensive.

RELATED PLAY: If you like the AI-power thesis but want something more established, look at Constellation Energy (CEG) or Vistra (VST) — nuclear plays benefiting from the same trend, but already profitable.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear power for AI data centers — up big on Microsoft/Meta power deals, showing what happens when the market "gets" the AI power story.
- VST (Vistra): Similar nuclear/gas story, has been one of the S&P's best performers on the same thematic.

FRVO CONTEXT: FRVO is badly lagging its AI-power peers, which is either an opportunity (early-stage, pre-inflection) or a warning (the market prefers proven, cash-generating power plays over pre-revenue geothermal). I lean opportunity — but you're paid to be patient here.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the setup at 52-week lows with a real catalyst pipeline, but the earnings miss and cash burn keep me from pounding the table.

POSITION SIZE: 2-3% of portfolio — this is a high-volatility name where you want to be able to add lower without it wrecking your book.

ENTRY POINTS: Right here in the \$27-28 zone is reasonable; I'd add aggressively if we retest the \$27 low with lighter volume (sign sellers are done).

TIME HORIZON: 18-36 months — the catalyst I'm waiting for is the Cape Station Utah project going fully online and a second hyperscaler contract announcement.

WHEN TO BAIL: If the Utah project gets pushed to 2027, or if IRA geothermal credits get repealed in the budget fight, or if they do a dilutive capital raise at these low prices — any of those means the thesis is broken.

HEDGING: If you want protection, pair this with a boring utility that pays a dividend (like NextEra) — that way if the whole "energy transition" trade breaks, you're not fully exposed.